

Article 6 Implementation Rulebook

International Carbon Market Mechanisms Under the Paris Agreement

Reading 6 · Module 5 · Meer Foundation EduSuTo

Course: Climate Change: Carbon Capture and Storage

Why Article 6 Matters

Article 6 of the Paris Agreement establishes the framework for international carbon market cooperation. It determines whether countries can trade carbon credits internationally, how those trades are accounted for in national climate targets, and what quality standards govern transferable carbon units. For project developers working in India or other developing countries, Article 6 is the gateway to accessing international carbon finance — potentially the most significant source of climate investment for developing economies.

The Three Pillars of Article 6

Pillar	Article	Mechanism	Status
Bilateral Cooperation	Article 6.2	Country-to-country carbon trading via Internationally Transferred Mitigation Outcomes (ITMOs)	Operational since COP26 (Glasgow 2021)
UN Carbon Market	Article 6.4	Successor to CDM; centrally supervised mechanism for project credits (A6.4ERs)	Operational since COP29 (Baku 2024)
Non-Market Approaches	Article 6.8	Technical assistance, capacity building, and cooperative approaches that do not involve trading	Framework established; limited implementation

Article 6.2: Bilateral Trading — How It Works

Article 6.2 allows two or more countries to cooperate through bilateral agreements, with one country generating mitigation outcomes (credits) that the other country uses toward its NDC.

Key concepts:

ITMO: Internationally Transferred Mitigation Outcome. The unit of currency in Article 6.2 trade. One ITMO typically equals one tonne CO₂e, but countries can define ITMOs in other units (e.g., renewable energy).

Corresponding Adjustment (CA): The critical accounting mechanism. When an ITMO is transferred, the selling country must make a corresponding adjustment — adding the transferred emissions back to its own NDC accounting, so both countries cannot count the same reduction.

Authorisation: The host country must formally authorise the carbon credit for Article 6.2 use. This government-level decision determines whether a voluntary market credit can become an ITMO.

Registry: All ITMO transfers must be recorded in the UNFCCC's central registry and in each country's national registry.

India and Article 6.2: Current Status

India has been an active participant in Article 6.2 bilateral frameworks:

Partner Country	Agreement Type	Project Focus	Status
Japan (JCM)	Joint Crediting Mechanism — precursor framework	Energy efficiency, renewables, waste management	Active; 50+ projects in various stages
Singapore	Article 6.2 Implementation Agreement	Solar, wind, waste-to-energy	MOU signed 2023; implementation ongoing
UAE	Carbon market cooperation	Clean energy, sustainable agriculture	Early stage discussions
European partners	Various bilateral exploratory	CCS, industrial decarbonisation	Feasibility studies stage

Article 6.4: The UN Carbon Market

Article 6.4 establishes a new UN-supervised carbon market mechanism, replacing the Clean Development Mechanism (CDM). The Article 6.4 Supervisory Body was established at COP26 and issued its first operational rules at COP29 (Baku, 2024).

Feature	CDM (Old)	Article 6.4 (New)
Scope	Developing countries only	All countries
Credit type	Certified Emission Reductions (CERs)	Article 6.4 Emission Reductions (A6.4ERs)
Host country role	Designated National Authority (DNA)	Host country authorisation required

Feature	CDM (Old)	Article 6.4 (New)
Corresponding adjustment	Not applicable	Required for use in NDC accounting
Voluntary market use	CERs used in voluntary markets	A6.4ERs can be used in VCM with conditions
Sustainable development	Self-assessed by project developers	Mandatory assessment framework
Adaptation finance	2% levy on CERs (unused in practice)	5% share of proceeds for adaptation

Implications for Indian Carbon Project Developers

Article 6 creates important opportunities and obligations for Indian project developers:

Opportunity 1 — Premium pricing: Article 6.2 ITMOs command significant price premiums over standard voluntary market credits because they include corresponding adjustments. Prices of \$25–60/tonne for high-quality ITMOs have been seen in early trades.

Opportunity 2 — Host country support: Countries seeking to sell ITMOs often provide support to project developers in their territory to build the supply of eligible credits.

Obligation 1 — Host country authorisation: To generate ITMOs, a project must be formally authorised by the Indian government. This requires engagement with the Bureau of Energy Efficiency (BEE) and Ministry of Environment, Forest and Climate Change (MoEFCC).

Obligation 2 — Corresponding adjustment risk: If credits are authorised for Article 6, India makes a corresponding adjustment — this is subtracted from India's NDC progress. Developers must understand that this limits how many credits India will authorise.

India Carbon Market (ICM) interface: India's domestic carbon market, administered by BEE under the Energy Conservation Act (Amendment) 2022, will interface with Article 6 mechanisms. Credits from the ICM may be eligible for Article 6.2 transfer — a significant opportunity for high-quality Indian projects.